Injections and withdrawals: the circular flow in the June quarter 2026 national accounts

Spending on investment, government and exports adds to demand; saving, taxes and imports take it out. The latest ABS data put numbers on each.

$175.3b
Investment (gross fixed capital formation), all sectors, chain volume

$159.7b
Government final consumption, chain volume (+0.6% in the quarter)

$173.5b
Exports of goods and services, chain volume (+0.8%)

$169.2b
Imports of goods and services, chain volume (+0.5%)

$112.3b
Income tax payable by households, current prices

$12.2b
Household net saving, current prices

1. The circular flow with real numbers

Households earn income → Withdrawals: saving (S), taxes (T), imports (M) → Injections: investment (I), government (G), exports (X) → Firms produce, pay income

	Item	June qtr 2026	Quarterly change
Injections	Investment, all sectors (chain volume, $m)	175,281	private investment unchanged; business investment −0.5%
	General government consumption ($m)	159,682	+0.6%
	Exports ($m)	173,452	+0.8%
Withdrawals	Household net saving (current prices, $m)	12,209	year earlier $9,015m
	Income tax payable by households (current prices, $m)	112,255	year earlier $103,769m
	Imports ($m)	169,188	+0.5%

Investment, government, exports and imports are chain volume measures (seasonally adjusted); saving and tax are current prices (original series), so do not add across the two groups. Government investment is part of investment above ($27.4b general government, $10.8b public corporations).

- **Net injection from trade:** exports ($173.5b) exceeded imports ($169.2b) by $4.3b in volume terms. Exports added 0.2 percentage points to GDP growth in the quarter and imports took away 0.1.
- **Investment is volatile:** machinery and equipment investment fell 6.6% in the June quarter after rising 17.3% in March, while non-dwelling construction rose 4.1%.
- **Households withdraw more as incomes rise:** income tax payable rose 8.2% over the year to $112.3 billion, and net saving rose from $9.0 billion to $12.2 billion.

Exam angle: show equilibrium logic: when injections exceed withdrawals national income rises, and the reverse. Name the specific injection or withdrawal and give a figure. The data above give one example of each, so a high-mark answer can cite both a recent change and a policy lever that affects it.

Syllabus link

HSC 2009 Topic 3 (3A Economic activity): 3A.2 injections and withdrawals (I, G, X; S, T, M) in the circular flow. Also links to 3A.3 the multiplier and 3D external stability.

Try this

1. List the three injections into the circular flow. (3 marks)
2. Explain how an increase in income tax rates would change the level of national income. (3 marks)
3. Analyse the effect of a fall in exports on the circular flow. (4 marks)

Sources: ABS, Australian National Accounts: National Income, Expenditure and Product, June quarter 2026 (cat. 5206.0, tables 2 and 20 time series workbooks).